

 Masterclass Day 21

Introduction to Trading

Transitioning from long-term compounding to high-octane market action: Exploring core trading styles.

The Core Philosophy: Investing vs. Trading

Investing (The Marathon)

Buying assets to hold for years or decades, relying heavily on **fundamental analysis** (company financials, management, and economic moats).

Goal: Wealth compounding, beating inflation, and building sustainable passive income.

Trading (The Sprint)

Buying and selling assets over short timeframes (minutes to months), relying primarily on **technical analysis** (price action, volume, and chart patterns).

Goal: Capitalizing on short-term market volatility and generating active cash flow.

The Fast Lane: Intraday Trading

Intraday trading (or Day Trading) means entering and exiting positions **within the exact same trading day**.

Zero Overnight Risk: All trades are squared off before the closing bell at 3:30 PM, protecting you against unexpected overnight global news.

High Leverage & Intensity: Brokers provide margin to multiply buying power, requiring intense screen focus, strict discipline, and lightning-fast execution.



Riding the Waves: **Swing Trading**



Catching the Medium-Term Move

Swing traders hold positions from a few days to several weeks, attempting to capture the "swing" or momentum in stock prices.

- » **Part-Time Friendly:** Perfect for college students or working professionals because you only need to check charts once or twice a day.
- » **Risk-Reward Balance:** Offers wider profit targets compared to intraday while avoiding the immense stress of second-by-second price action.

The Macro Trend: **Positional Trading**

Positional trading is a trend-following strategy where positions are held for **several weeks to several months**.

- » **Best of Both Worlds:** Combines elements of both fundamental and technical analysis to ride major macroeconomic trends.
- » **Low Screen Time:** Requires minimal daily monitoring, allowing traders to focus on their careers or studies.
- » **Patience Required:** You must endure minor market pullbacks and corrections while trusting the larger trend.



The Microscopic Edge: **Scalping**



Seconds to Minutes

Scalpers execute dozens or even hundreds of trades every single day, holding positions for mere fractions of a minute to capture tiny price ticks.



Order Book Mastery

Rely exclusively on Level 2 market depth, tape reading, and high-frequency momentum rather than long-term chart analysis.



Extreme Stress

Demands lightning-fast reflexes and ironclad emotional control. Transaction brokerage costs can quickly eat up profits if not managed.

Great Job on Day 21!

Tomorrow: Day 22 - Candlestick Basics.

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